Baker Corporate Merger Antitrust Review

The Federal Trade Commission challenges the proposed merger between MegaCorp Inc. and TechGiant Corporation, alleging the merger would substantially lessen competition in the software services market in violation of Section 7 of the Clayton Act. The FTC seeks a preliminary injunction to prevent the merger pending administrative proceedings. The FTC alleges the merged entity would control over 60% of the relevant market, creating a dominant position that would harm competition and consumers. The FTC presented economic analysis showing likely price increases and reduced innovation following the merger. The FTC argues the merger would eliminate head-to-head competition between the two largest competitors in the market. The merging parties argue the relevant market is defined too narrowly and that numerous competitors would remain post-merger. The parties presented evidence of low barriers to entry, rapid technological change, and strong competition from international firms. The parties argue the merger would create efficiencies benefiting consumers. After considering all evidence and testimony, the court finds the FTC has demonstrated a likelihood of success on the merits. The proposed merger would likely substantially lessen competition in the relevant market. The claimed efficiencies are insufficient to outweigh the anticompetitive effects. The court grants the preliminary injunction preventing the merger pending the outcome of administrative proceedings.